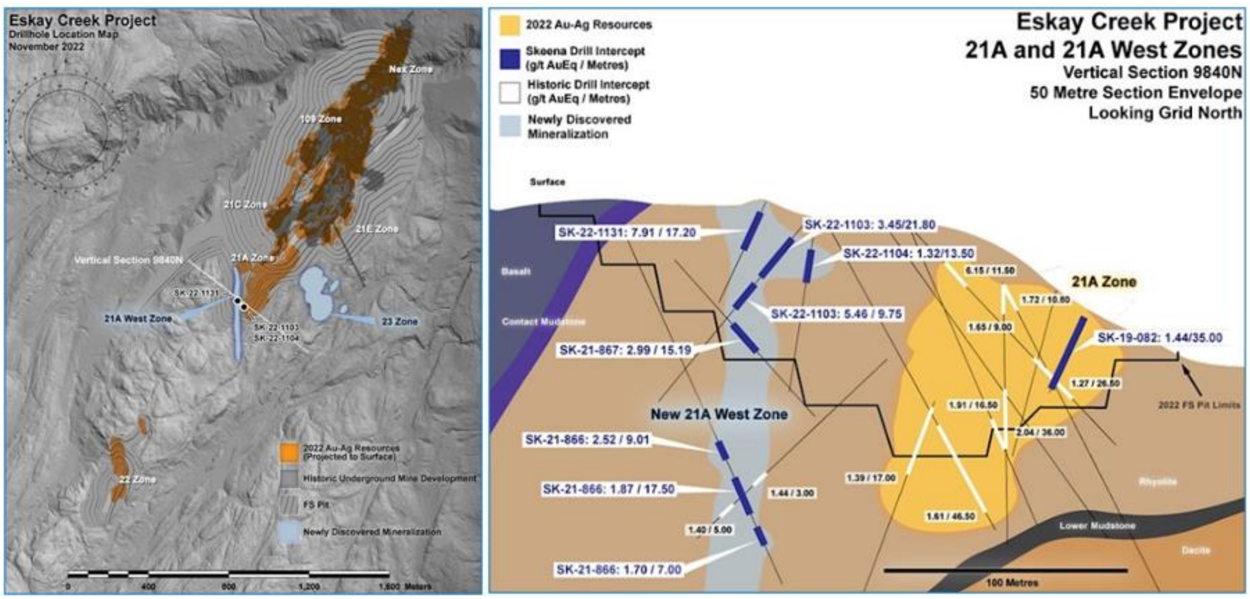
Sprott | Equity Research

17 November 2022

Ticker: SKE CN	**Cash 3Q22:** C$27m	**Project**: Eskay Creek
Market cap: C$539m	**Price:** C$7.11/sh	**Country:** Canada, BC
REC. (unc): BUY	*TARGET (unc): C$10.80/sh*	*RISK RATING (unc): HIGH*

*Today's near surface bulk high-grade intercept of **17.2m @ 7.9 g/t** AuEq from the 21A West Zone is impressive on grade / thickness. Whilst this is infill, it is a very useful and direct ounce addition given it falls within the DFS pit, but was previously modelled as waste. This is well above the DFS reserve grade too and near surface to reduce strip, so genuinely NPV accretive in our view. The double win here is the bulk hit of **21.8m @ 3.5g/t**, just 35m southern of today's headline hit and again within the proposed open pit. Our key-take home is that 21A zone is that this, and prior drilling, should roll through nicely into the updated resource, and while there are always wins / losses on infill, we think 21A should offset lower grade areas, with the added flyer on additional high-grade from the rhyolites. As such, **we maintain our BUY rating and C$10.80/sh PT based on 0.6xNAV$_{5\%-1700}$.** Looking ahead, early construction works at Eskay, progress on permitting and more results from the 2022 drill program are expected, providing abundant news flow as the project continues to make headway this year, giving more torque on Skeena's stock.*

Figure 1. Eskay Creek Plan view and 21A / 21A West Zone vertical section showing today's drilling



Source: Skeena

Impressive 21A West infill with 17.2m @ 7.9g/t near surface; adds ounces within pit

Skeena reported results from three holes from 21A West Zone delineation drilling, highlighting **17.2m @ 7.9g/t AuEq** (incl. **5.2m @ 15g/t**) from 14m below surface, within the FS pit shell in an area previously modelled as waste, and 35m south of a previous 50m @ 2.3 g/t intercept. Another intercept returned **21.8m @ 3.5g/t** from 15m, 35m southern of today's headline hit, again within the current open pit shell. A total of 55,652m was drilled this year and the results will be included in the 2H23 MRE update.

Why we like Skeena Resources

- Large high-grade open pit with SCPe >500koz upside potential in coming 12-18M
- Shift in market dynamics allows concentrate sales for lower capex
- Optionality from high-grade Snip mine nearby to blend concentrate or add ounces
- Catalyst heavy with drilling, metallurgy, and DFS optimizations in coming 12M

Catalysts

- 2023: permitting updates
- 3Q23: SCPe build start
- CY26: SCPe first production
- 2H22: Exploration and AWF infill / expansion drilling

Research

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Equity Research

17 November 2022

Ticker: SKE CN	**Price / mkt cap:**	C$7.11/sh, C$539m	**Project PNAV today:**	0.36x	**Asset:** Eskay Creek / Snip
Author: B Salier/ E Magdzinski	**Rec / 0.6xNAV PT:**	BUY, C$10.8/sh	**1xNAV$_{4Q22}$ FF FD:**	C$19.58/sh	**Country:** Canada: BC

Commodity price	**CY18A**	**CY19A**	**CY20A**	**CY21A**	**CY22E**
Gold price	1,700	1,700	1,700	1,700	1,700

SOTP *project* valuation*	**C$m**	**O/ship**	**NAVx**	**C$/sh**
Ungeared proj. @ build start (3Q23)	1,612	100%	1.00x	19.44
Cash 3Q22	27	100%	1.00x	0.33
Cash from options	55	100%	1.00x	0.67
Rsr ex rsv @US$50/oz	92	100%	1.00x	1.11
Snip (US$75/oz)	65	100%	1.00x	0.79
Asset NAV5% C$1700/oz	1,852			22.3
**Shares diluted for options but not mine build*		Market P/NAV5% $_{3Q22}$		0.32x

Share data			
Basic shares (m)	75.8	FD with build equity raise	109.5
FD with options (m)	82.9		

Asset value: 1xNPV project @ build start (C$m, ungeared)*					
Project NPV (C$m)*	$1500oz	$1600oz	$1700oz	$1800oz	$1900oz
10.0% discount	1,146	1,283	1,418	1,554	1,689
7.5% discount	1,313	1,466	1,618	1,769	1,921
5.0% discount	1,510	1,681	1,852	2,023	2,193
Ungeared project IRR:	41%	44%	48%	51%	54%
Project NPV (C$/sh)*	$1500oz	$1600oz	$1700oz	$1800oz	$1900oz
10.0% discount	13.82	15.46	17.10	18.73	20.36
7.5% discount	15.83	17.67	19.50	21.33	23.15
5.0% discount	18.20	20.27	22.3	24.38	26.44

**Project level NPV, excl finance costs and central SG&A, discounted to build start*

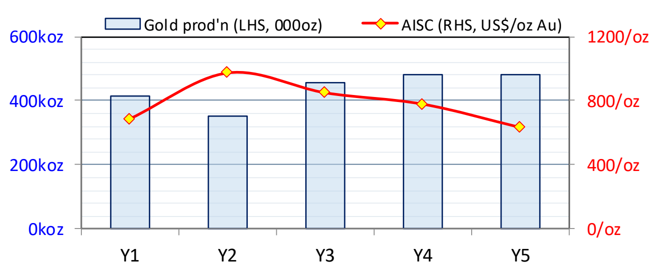
Group valuation over time^	**Dec-22**	**Dec-23**	**Dec-24**	**Dec-25**	**Dec-26**
Eskay Creek (C$m)	1,575	1,677	1,919	2,302	2,368
Net cash prior qtr (C$m)	27	1	30	(256)	(265)
G&A and finance costs (C$m)	(99)	(88)	(98)	(85)	(42)
Cash from options (C$m)	55	55	55	55	55
Snip	65	65	65	65	65
NAV FF FD (C$m)	1,624	1,710	1,972	2,082	2,181
1xNAV$_{5\%}$/sh FF FD (C$/sh)	**19.58^**	**15.62***	**18.01***	**19.02***	**19.93***

Geared company NAV diluted for mine build, net G&A and finance costs					
1xNAV FF FD (C$/sh)^	$1500oz	$1600oz	$1700oz	$1800oz	$1900oz
10.0% discount	1,606	1,783	1,959	2,135	2,312
7.5% discount	1,695	1,880	2,064	2,249	2,434
5.0% discount	1,793	1,987	2,181	2,376	2,570
Geared project IRR:	39%	42%	45%	49%	52%
1xNAV FF FD (C$/sh)^	$1500oz	$1600oz	$1700oz	$1800oz	$1900oz
10.0% discount	12.77	14.70	16.66	18.64	20.64
7.5% discount	14.09	16.14	18.22	20.32	22.43
5.0% discount	15.53	17.72	19.9	22.15	24.40

*^Project NPV incl grp SG&A & fin. cost, +net cash; *diluted for mine build equity*

Production	**Y1**	**Y2**	**Y3**	**Y4**	**Y5**
Gold production (000oz)	413	352	457	481	480
C1 cost (US$/oz)	610	896	720	654	588
AISC cost (US$/oz)	690	977	852	781	634

AISC = C1 + ug sustaining capex, Y1 = 12M to Mar 2027



Source: SCP estimates

Resource / Reserve	**AuEq (koz)**	**AuEq (g/t)**
Pittable resource	5329koz	3.20g/t
Underground resource	279koz	5.23g/t
Snip	646koz	13.60g/t

Funding: uses		**Funding: sources**	
Build Capex	C$592m	Cash 3Q22	C$44m
SCPe G&A to 1st Au + NSR buyback	C$32m	Mine debt @ 65% gearing	C$385m
SCPe pre-production expl'n	C$0m	Mine build equity at 0.4xNAV	C$207m
SCPe finance costs + wkg cap	C$38m	Total proceeds	C$636m
Total uses	C$663m	*Buffer*	*-C$27m*

**Cash from options expiring pre first pour*

Ratio analysis	**CY21A**	**CY22E**	**CY23E**	**CY24E**	**CY25E**
Average shares out (m)	92.1	71.2	97.2	100.3	100.3
EPS (C$/sh)	-	-	-	-	-
CFPS (C$/sh)	-	-	-	-	-
EV (C$m)	616.1	484.5	524.2	738.4	1,051.8
FCF yield (%)	-	-	-	-	-
PER (x)	-	-	-	-	-
P/CF (x)	-	-	-	-	-
EV/EBITDA (x)	-	-	-	-	34.9x

Income statement	**CY21A**	**CY22E**	**CY23E**	**CY24E**	**CY25E**
Net revenue (C$m)	-	-	-	-	39.0
Gross profit (C$m)	**-**	**-**	**-**	**-**	**30.9**
D&A, attrib (C$m)	0.3	0.2	-	-	5.9
Admin (C$m)	22.9	18.7	16.1	12.1	-
Expensed exploration (C$m)	107.5	71.9	-	-	-
Finance cost (C$m)	(0.2)	(0.3)	-	-	26.5
Royalty (C$m)	-	-	-	-	0.7
Forex, other (C$m)	(12.8)	(14.0)	-	-	-
Taxes (C$m)	-	-	-	-	3.3
Net income (C$m)	**(117.6)**	**(76.5)**	**(16.1)**	**(12.1)**	**(5.5)**

Cash flow, attrib.	**CY21A**	**CY22E**	**CY23E**	**CY24E**	**CY25E**
EBIT (C$m)	(117.8)	(76.8)	(16.1)	(12.1)	24.2
Add back D&A (C$m)	0.3	0.2	-	-	5.9
Less tax + net interest (C$m)	(0.2)	(0.3)	-	-	29.8
Net change in wkg cap (C$m)	(10.3)	12.1	-	(1.1)	(17.5)
Add back other non-cash (C$m)	1.4	(6.3)	-	-	-
Cash flow ops (C$m)	**(126.1)**	**(70.5)**	**(16.1)**	**(13.2)**	**(17.2)**
PP&E - build + sust. (C$m)	(13.1)	(12.7)	(35.4)	(179.3)	(296.3)
PP&E - expl'n (C$m)	(0.5)	(0.0)	22.5	-	-
Cash flow inv. (C$m)	**(13.5)**	**(12.7)**	**(12.9)**	**(179.3)**	**(296.3)**
Share issue (C$m)	137.0	65.2	174.4	-	-
Proceeds from sale (C$m)	5.0	-	-	-	-
Debt draw (repay) (C$m)	(1.6)	(0.3)	-	-	441.3
Cash flow fin. (C$m)	**140.5**	**64.9**	**174.4**	**-**	**441.3**
Net change in cash (C$m)	0.8	(18.3)	145.4	(192.5)	127.9
EBITDA (C$m)	(117.5)	(76.6)	(16.1)	(12.1)	30.2

Balance sheet	**CY21A**	**CY22E**	**CY23E**	**CY24E**	**CY25E**
Cash (C$m)	40.3	23.2	168.5	(23.9)	103.9
Acc rec., inv, prepaid (C$m)	13.9	7.4	7.4	8.5	6.0
PP&E + other (C$m)	100.8	124.2	137.1	316.4	606.7
Total assets (C$m)	**155.0**	**154.8**	**313.1**	**301.0**	**716.7**
Debt (C$m)	1.3	1.4	1.4	1.4	442.6
Accounts payable (C$m)	12.5	20.6	20.6	20.6	0.6
Others (C$m)	17.6	3.6	3.6	3.6	3.6
Total liabilities (C$m)	31.4	25.6	25.6	25.6	446.9
Sh'hlds equity + wrnts (C$m)	362.0	448.9	623.3	623.3	623.3
Retained earn'gs + rsvs (C$m)	(238.4)	(319.7)	(335.9)	(348.0)	(353.5)
Liabilities + equity (C$m)	**155.0**	**154.8**	**313.1**	**301.0**	**716.7**

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Summary of Recommendations as of November 2022	
BUY:	51
HOLD:	1
SELL:	0
UNDER REVIEW:	1
TENDER:	0
NOT RATED:	0
TOTAL	53

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